



Ideas that **Move Millions**

2nd Year

Case Study



#ResetOurGame

#BeLimitless

Platform Partner unstop

India's digital economy has expanded rapidly over the last decade. Rising prosperity has increased consumer spending, with per capita disposable income reaching approximately 2.83L INR. At the same time, India has emerged as one of the world's largest connected markets, with **430 million 5G subscribers** and nearly **1 billion data consumers**. The industry's mobility ARPU stands at **₹194.57**.

As consumer needs have evolved beyond connectivity, telecom companies have increasingly expanded into adjacent services such as entertainment, financial services, security solutions, and digital platforms.

Company Background: Altura Communications

Altura Communications began as a mobility services provider and later expanded into broadband services. Over time, it built an ecosystem that included mobility, broadband/WiFi, OTT entertainment+TV, banking, and financial services.

These offerings were aimed at India's growing base of high-value households. India is home to approximately 350 million households, of which nearly 100 million are classified as high-value households with higher spending power and increasing consumption of connectivity, entertainment, financial, and digital services.

Today, Altura Communications enjoys the highest ARPU in the industry, maintaining an advantage of approximately ₹40 over its nearest competitor.

A New Leader, A New Perspective

In 2026, Altura Communications appointed a new Marketing and Sales Director to identify the company's next growth engine.

After studying customer and market data, he uncovered several important insights.

1. Saturation in the Prepaid Mobility Market

The prepaid mobility business had reached a mature stage with limited opportunities for subscriber growth. Pricing power remained constrained, making significant ARPU expansion difficult. Future growth would need to come from sources beyond traditional prepaid mobility.

2. Postpaid Billing Delivered Superior Economics

Data revealed that postpaid subscribers generated significantly greater value.

- Postpaid mobility ARPU was approximately ₹100 higher than prepaid ARPU.

- A postpaid billing relationship increased customer stickiness by approximately 50%, resulting in higher customer lifetime value.

3. Product Silos Across the Organization

Despite its extensive portfolio, Altura Communications operates through multiple independent sales and distribution channels. Mobility, broadband, entertainment, banking, worked largely in silos, limiting cross-selling opportunities and creating fragmented customer experiences.

Its Direct-to-Consumer (DTC) channel catered primarily to high-value customers and included a field sales force as well as company-operated retail stores that functioned as both sales and service touchpoints. For the mass market, the company leveraged an extensive distributor-led channel. Customers could also purchase and manage services through digital platforms, with the online channel supported by the DTC organization. While each channel served a specific purpose, they largely operated independently across product lines.

4. Consolidated Customers Were More Loyal

Analysis revealed that customers subscribing to multiple Altura Communications services were significantly less likely to churn the services. Customers who combined mobility, broadband, entertainment, and banking services experienced approximately 50% lower churn than single-product customers.

Strategic Dilemma

The Marketing and Sales Director believed Altura Communications possessed a unique competitive advantage.

Through its diverse portfolio of services, Altura Communications had access to rich customer data. Combined with advancements in AI, machine learning, and digital technologies, this created an opportunity to better understand customer needs and deliver more personalized solutions.

As customer preferences continued to evolve, the company saw significant potential to increase adoption across its portfolio while creating a more seamless experience across channels and products.

Looking ahead, Altura Communications faced an important strategic question: How could it leverage its strengths to become India's preferred integrated digital ecosystem for connected households?

The Challenge

The CEO has asked a cross-functional strategy team to develop recommendations for the company's next phase of growth.

The team must answer the following questions:

- What are the key consumer barriers preventing customers from consolidating multiple services with a single provider?
- How can Altura Communications overcome these barriers through product design/bundling, positioning, and marketing strategies without compromising pricing?
- How can Altura Communications use AI, ML, digital technologies and customer data to drive more effective customer targeting while improving channel productivity and digital engagement?

Appendix

1. High Value Households in India

Household Income	Count of Households	High Value Homes
INR 10L+	45 million	
INR 5L to 10 L	85 million	
INR 3L to 5L	100 million	
Less than INR 3L	120 million	

2. Channel Structure

Channel	Overview	Consumer Segment	Dominant Product	Entry Pricing of Product
Direct to Consumer	On ground sales executives	High value consumers	WiFi+OTT	599
	Company operated stores		Postpaid Sims	449
	Online Leads/Queries		WiFi+OTT/Postpaid	-
Distributor Channel	Retail outlets, Sales Executives	Mass market	Prepaid Sims	349
Payments Bank	Retail outlets, Sales Executives	Mass market	Payments Bank	99

3. Market structure

Product Category	Competitive Landscape	Market Structure	Market Characteristic
Mobility	Four national operators, with two players controlling a majority of market share	Oligopoly	Mature market with high penetration and limited subscriber growth
Broadband (WiFi)	Two large operators account for ~50% of the market alongside numerous regional and local providers	Fragmented	Growing market driven by increasing demand for home connectivity
OTT & Entertainment	Multiple national and global streaming platforms competing for consumer engagement. Telecom companies act as aggregators	Highly Fragmented	Rapidly evolving market with intense competition for content and attention
Financial Services	Large ecosystem of banks, fintechs, payment providers, NBFCs, and lenders	Unorganised	Expanding market with diverse offerings and increasing digital adoption
Television (TV)	Four major operators, with two players accounting for more than 50% of market share	Oligopoly	Mature market undergoing digital transformation and increasing convergence with OTT platforms

4. Billing Type vs Churn%

Billing Relationship	Churn %	ARPU(INR)
Prepaid	3.00%	257
Postpaid	2.00%	358
Bundling	1.30%	470

5. Bundling vs Churn%

No. of Services Bundled	Churn%	ARPU(INR)
2 Services	1.70%	375
3 Services	1.30%	452
2 Services	1.00%	583